

that has already been created, how does one continue to leverage that and not make SEZs ghost towns? A lot of it was predicated on financial giveaways. So how do you leverage that infrastructure and make it more productive? That's one of the key things. The second question is how to align the broader SEZ policy with what we want to do in general, such as PLI and Aatmanirbhar Bharat. How do you align various government initiatives? China is also focussing on inputs. That's very important. Clearly, the intent in India is also to focus on what is absolutely critical, whether it is chemicals for pharmaceuticals, whether it is semiconductors or chips for your automobile industry. So, whatever you are good at or wherever economics works for you, you really need a back end. We have to make it through the broader SEZ and other government policies. The SEZ law will reinforce India's position as a manufacturing hub and key investment destination.

Q: Despite low capacity utilisation and demand, there has been consolidation and M&A activity. How do you justify this appetite of India Inc. for deals?

A: The good news is that deals will continue to happen, and as a deals person, I'm very happy. Until now, it [the deals] has all been for growth reasons, but today a lot of it is going to be for consolidation reasons. In the first quarter of 2022, if we look at the start-up ecosystem, the amount of private capital that the start-ups raised was very significant. The dry powder available globally has recently crossed \$900 billion. Just as globalisation is a disruptor, so much private capital available globally is also a disruptor. Today, private capital is a major disruptor.

Q: There was a time when corporate India or the experts used to talk about focussing on core competence. Today, big corporations are diversifying into multiple areas. Do you see a rationalisation of portfolios in the large- or mid-corporate segment?

A: I think the question is that when money gets dearer, you want to do fewer things. I'm noticing that people are doing a big review of their portfolios and saying that this is

ON THE LOCALISATION OF SUPPLY CHAINS

It's not like a switch that you can turn on and off. But the localisation of supply chains is bound to happen, and happen everywhere. And wherever and whoever can localise quicker, will be able to come through reasonably unscathed.

ON DEALS

Deals will continue to happen. Until now, all deals took place for growth reasons, but today a lot of them are going to take place for consolidation reasons.

ON CAPITAL EXPENDITURE

The government has put out a significant amount of money for the revival of the capital cycle. We should see an uptick in capital expenditure, particularly on the back of public capital. I would like to believe that it will help the private sector have the confidence to enhance its capacity.

something that is not going to withstand the vagaries of the VUCA world and that I might as well sell this business.

Private equity capital is available, but they [the PE funds] are looking at your metrics. For decent businesses, private capital is usually available. I believe that portfolio rationalisation is going to be key as we move forward. When you go beyond the top 20 corporates, there is clearly a focus on portfolio rationalisation and not doing the same things over and over again. At the end of the day, everybody wants to create value. When scaling up, forward and backward integration would be prioritised over inordinate expansion. We are also seeing a generational shift with many family businesses and conglomerates, changing perspectives and a more favourable approach to M&As.

Q: When you took over last January, you talked about a five-year strategy. How much progress has been made?

A: We articulated our aspiration of being more relevant to Indian businesses. When we looked at our portfolio, we needed to increase the work that we were doing with Indian businesses and create more relevance for them. And we identified certain sectors and areas like emerging technologies, cloud, ERP, analytics, cybersecurity, etc. If you look at the amount of money that India Inc. is spending on digital transformation, you will see that a large part of that is going into cloud and cybersecurity. For instance, look at financial services or consumer businesses. They are the ones that have a lot of consumer interface. They are adopting the cloud, AI, bots, etc. As rural area consumption [of technology] goes up, the next level is local language capabilities. Blockchain is one area where there is a huge possibility of use cases. I think these are the technology areas in which we are continuing to make investments. We recently signed an agreement to acquire Venerate Solutions, a digital company. We will look at a couple of acquisitions in the technology space in the next two to three years. A part of our strategy is also to support India's \$5-trillion GDP aspirations and we are looking at increasing our relevance in the domestic market. **BT**

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